Global Sustainability Reporting Standards: Executive Briefing

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Global baseline frameworks

These three are voluntary on their own, but nearly every mandatory regime below is built on them. They become enforceable only when a jurisdiction writes them into law.

1. ISSB Standards (IFRS S1 and S2). The investor-focused global baseline from the IFRS Foundation.

- **Components:** S1 covers general sustainability-related financial information; S2 covers climate. Both use the four TCFD pillars (governance, strategy, risk management, metrics and targets), require Scope 1, 2 and 3 emissions and climate scenario analysis, and apply a financial materiality lens.
- **In scope:** Any company may apply them. As of April 2026, 28 jurisdictions had adopted them on a voluntary or mandatory basis and 12 more planned to (S&P Global). Australia, Japan, the UK and Brazil have issued ISSB-based standards.
- **Enforcement:** None from the ISSB itself; enforced by the regulators that adopt it.

2. GRI Standards. The most widely used impact-focused framework, aimed at all stakeholders rather than only investors.

- **Components:** Universal Standards (GRI 1 to 3), 30+ topic standards and sector standards, built on impact materiality. New GRI 102 (Climate Change) and GRI 103 (Energy) apply to reports published from 1 January 2027, adding transition plan, just transition and carbon credit disclosures (GRI).
- **In scope:** Voluntary for any organization of any size or sector.
- **Enforcement:** None. Claiming "in accordance with GRI" requires a content index and notification to GRI; ESRS is designed to be interoperable with it.

3. GHG Protocol. The accounting rulebook for emissions that every regime in this briefing relies on.

- **Components:** Corporate Standard, Scope 2 Guidance (location- and market-based methods) and Scope 3 Standard (15 value chain categories). A revision under consultation would require hourly and regional matching of renewable energy

certificates for market-based Scope 2 claims, with a final standard expected in 2027 and implementation likely from 2028 (Greenplaces).

- **In scope:** Voluntary; referenced directly by California SB 253, ISSB, AASB S2 and ESRS.
- **Enforcement:** None of its own; errors are penalized through the laws that reference it.

Europe

The EU remains the most demanding jurisdiction, but the Omnibus I Directive (EU) 2026/470, in force since 18 March 2026, cut the number of companies in scope by roughly 80% (Norton Rose Fulbright). Member States must transpose it into national law.

4. Corporate Sustainability Reporting Directive (CSRD) and ESRS. The EU's mandatory sustainability reporting law and its technical standards.

- **Components:** Double materiality (impacts on people and planet, plus financial risk); 2 cross-cutting and 10 topical ESRS; mandatory limited assurance; digital tagging, now postponed. Revised ESRS adopted on 3 July 2026 cut mandatory datapoints by over 60% and total datapoints by over 70% (European Commission).
- **In scope:** EU companies with more than 1,000 employees and more than EUR 450m net turnover. Non-EU groups are in scope with over EUR 450m EU turnover and an EU subsidiary or branch above EUR 200m (Latham & Watkins). Suppliers under 1,000 employees can decline data requests beyond a voluntary SME standard.
- **Enforcement:** Penalties set by each Member State; statutory auditors or accredited assurers sign off; national market regulators supervise listed issuers.

5. EU Taxonomy Regulation. A classification system defining which economic activities count as environmentally sustainable.

- **Components:** Six environmental objectives; an activity is "aligned" if it substantially contributes to one, does no significant harm to the others and meets minimum social safeguards. Companies report the share of turnover, CapEx and OpEx that is eligible and aligned. Since January 2026, activities below 10% of a KPI can be excluded from detailed assessment and templates are about 64% shorter (BCLP).
- **In scope:** Companies subject to CSRD (Article 8), plus financial market participants through SFDR.
- **Enforcement:** Through the CSRD and SFDR supervisory regimes above.

6. Sustainable Finance Disclosure Regulation (SFDR). Disclosure rules for asset managers, insurers, pension funds and advisers.

- **Components:** Entity-level principal adverse impact statements and product labels under Article 8 ("promotes" ESG) and Article 9 (sustainable objective). SFDR 2.0 would replace these with three categories (Sustainable, Transition and ESG Basics), each requiring 70% of assets to meet the category's criteria. The Council agreed its position in June 2026 and Parliament's committee in September 2026; trilogues are expected to start in October (RankiaPro).
- **In scope:** Financial market participants and advisers marketing products in the EU, including non-EU managers.
- **Enforcement:** National financial regulators, with ESMA coordinating; greenwashing in fund names and marketing is an active enforcement priority.

7. Corporate Sustainability Due Diligence Directive (CSDDD). A conduct obligation, not only a disclosure one.

- **Components:** Identify, prevent and remediate adverse human rights and environmental impacts in the company's own operations and chain of activities, with a risk-based focus.
- **In scope:** EU companies with more than 5,000 employees and EUR 1.5bn net worldwide turnover, and non-EU companies with EUR 1.5bn EU turnover. Compliance is required from 26 July 2029 (Morrison Foerster).
- **Enforcement:** National supervisory authorities with administrative fines; the Omnibus narrowed the liability and penalty provisions (Accountancy Europe).

United States

There is no federal mandate; California is the binding regime. The SEC's 2024 climate rule never took effect: it was stayed in 2024, the SEC stopped defending it in March 2025 and proposed rescinding it on 29 May 2026. Until a final rescission, the rule stays stayed and the SEC's 2010 interpretive guidance on material climate risk still applies (Jones Day).

8. California SB 253 and SB 261. Two companion laws administered by the California Air Resources Board (CARB).

- **Components:** SB 253 (Climate Corporate Data Accountability Act) requires annual Scope 1 and 2 emissions reporting from 2026 and Scope 3 from 2027, measured under the GHG Protocol, with third-party assurance phasing from limited to reasonable. SB 261 (Climate-Related Financial Risk Act) requires a biennial public report on climate-related financial risk and mitigation, which may follow TCFD or ISSB.

- **In scope:** US-organized entities doing business in California with total annual revenue above $1bn (SB 253) or above $500m (SB 261), public or private, measured globally (Persefoni).
- **Status:** CARB moved the first SB 253 deadline from 10 August to 10 November 2026 and will not require assurance on that first report (Baker Tilly). A Ninth Circuit injunction has paused SB 261 enforcement since November 2025; a ruling on the First Amendment challenge was still pending as of August 2026.
- **Enforcement:** CARB administrative penalties of up to $500,000 per reporting year under SB 253 and up to $50,000 under SB 261. Scope 3 misstatements are protected by a safe harbor if made in good faith, and penalties for Scope 3 are limited to non-filing until 2030.

Australia and India

9. Australian Sustainability Reporting Standards (AASB S2). Mandatory climate reporting under Chapter 2M of the Corporations Act 2001, based on IFRS S2.

- **Components:** A sustainability report lodged with the annual report, covering governance, strategy, risk management and metrics; Scope 1 and 2 emissions from year one and Scope 3 from year two; scenario analysis at 1.5°C and at 2.5°C or higher; a directors' declaration; assurance phasing from limited to reasonable. AASB S1 (general sustainability) is voluntary.
- **In scope:** Entities that lodge annual reports and meet two of three size tests, phased by group. Group 1 began with years starting 1 January 2025 (revenue A$500m, assets A$1bn, 500 employees). Group 2 began with years starting 1 July 2026 (A$200m, A$500m, 250 employees). Group 3 follows from 1 July 2027 (A$50m, A$25m, 100 employees) (Carbon Impact). Large emitters under the National Greenhouse and Energy Reporting Act and large asset owners are also caught.
- **Enforcement:** ASIC, under the same civil penalty and director liability provisions as financial reports. A three-year "modified liability" period limits claims over Scope 3, scenario analysis and transition plans to ASIC-only actions (Naturaliste).

10. Business Responsibility and Sustainability Report (BRSR) and BRSR Core. India's mandatory ESG report, set by the Securities and Exchange Board of India (SEBI).

- **Components:** Full BRSR covers the nine principles of India's National Guidelines on Responsible Business Conduct, from environment to employee welfare to consumer fairness. BRSR Core is a subset of nine attributes (including GHG emissions, water,

energy, waste, gender diversity and workforce safety) that must be independently assessed or assured.

- **In scope:** The top 1,000 listed companies by market capitalization file the full BRSR. BRSR Core assessment or assurance extends to all 1,000 from FY 2026-27. Value chain disclosures for the top 250 are voluntary from FY 2025-26 after SEBI's March 2025 deferral (Sustainability 101).
- **Enforcement:** A listing obligation under SEBI's LODR Regulation 34(2)(f), filed with the annual report; SEBI and the stock exchanges can impose fines and other actions for non-compliance or misstatement.